

Retail Outlets:									
Department stores*	6	9	24	2 ¹ / ₂	95	50	25	150	250
Grocery chains*	5	7 ¹ / ₂		1 ¹ / ₂	97	60 ⁵			
Miscellaneous Special Situations:									
Motion pictures	6	8	24	8	86	50	80	200	400
Printing and publishing*	6	7	24	15	77				
Rail equipment-car leasing companies	4	6 ⁶	16	9	74	40	200		300
Tobacco products	4		16	9	86	75 ⁵			
Public Utilities:									
Steam-electric operating companies ^{7*}	2 ³ / ₄ ⁸		12	19 ⁹		60	500 ¹⁰		
Hydro-electric operating companies (retail) ^{7*}	2 ³ / ₄ ⁸		12	25 ⁹		60			
Hydro-electric operating companies (wholesale) ^{7*}	3 ⁸		13	25 ⁹		50			
Water companies*	2 ⁸		10	20 ⁹	55	60	700 ¹⁰		
Telephone companies*	3 ⁸		13	15 ⁹		50	350 ¹⁰		
Railroads*	3 ¹¹	3 ¹ / ₂ ⁶							

* Supplemental ratios for these groups are given in Table II.

¹ Based on actual fixed charges reported in previous years, not upon present charges.

² After taxes.

³ Most of these guide ratios are based on the recorded experience of the better situated companies within the various industries.

⁴ Ratio of operating expenses, excluding depreciation, depletion and federal income taxes, to gross revenues.

⁵ Fixed debt to net property plus inventories.

⁶ Times fixed charges earned before depreciation, less equipment trust maturities.

⁷ For systems where at least 75% of revenues is derived from electricity.

⁸ With last year's result at least as good as six-year average.

⁹ Net income to operating revenues.

¹⁰ Net property to operating revenues.

¹¹ With minimum for any one year no less than two times.

Source: Tables I and II are reproduced from the December 4, 1939 issue of *Barron's, The National Financial Weekly*.

(A) The following additional guide ratios relating to asset protection are recommended for all industrial groups (C); Cash and equivalent to current liabilities—100% or more. Fixed debt to market value of total capitalization (taking bonds at par, preferred stock at the lower of par or market, and common stock at market; year-end prices)—not over 25% Guide ratios (C) should be applied especially to a company's latest reported figures but some consideration should also be given to figures for earlier years and to their trend. (B) All guide ratios relating to earnings protection should be applied to a company's average figures for the last six years. This also applies to the ratio of net property to gross revenues.